THE 2026 SMART MONEY CRYPTO REPORT

The Birth of a $100 Trillion Market and Why the Future of Finance Will be Onchain



BROWNSTONE RESEARCH

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By Ben Lilly, Editor, *Chain of Thought*

Dear Reader,

The year is 1602, and the world is about to change forever…

That year, the Dutch East India Company had been founded through a state-granted charter issued by the Dutch Republic. Under the charter, the Company was given monopolistic and quasi-government powers. It was granted the exclusive right to conduct trade on behalf of the Dutch government. It had the authority to wage war, mint currency, and govern overseas territory. In time, it would become the largest and most powerful company in the history of the world.

But early on, the Company faced a problem. Trading expeditions were notoriously expensive…and dangerous.

Financed one-at-a-time from private investors, these trading voyages would typically cost the equivalent of hundreds of thousands of modern dollars. They were also perilous. Pirates, bad weather, and shipwrecks were a real risk.

To offset this risk, and to raise much-needed capital, the Company embarked on a revolution that would alter finance forever: The Dutch East India Company issued a tradable security.

Each "share" represented partial ownership in the Company and granted the holder the right to share in the Company's profits. A lively secondary market was born to trade these assets, setting the stage for modern stock markets. The Company was even governed by a Heeren XVII (Lords Seventeen) who made strategic decisions for the firm on behalf of shareholders. It was the 17th century equivalent of a corporate board.

The rest is history…

What started as an innovative solution to raise permanent capital for a Dutch trading conglomerate kickstarted a centuries-long trend that is still going strong. Today, the value of global stock markets is estimated to be approximately $124 trillion and growing. Every month, approximately 4.8 trillion shares are traded for an estimated value of $14.3 trillion. In some real sense, that financial world we all know was born in 1602.

Now it's being reborn…

the revolutionary changes happening at the very foundations of capitalism, and to share profitable insights along the way.

We will get to that soon. But first…

Welcome to Chain of Thought

If you are reading this, it means you are the newest subscriber to *Chain of Thought*, published by Brownstone Research. The purpose of this publication is straightforward—to catalogue the next evolution of finance taking shape thanks to digital assets and blockchain technology.

In my ten-plus years of working in this field, I have been constantly disappointed by the quality of research on offer for everyday investors. We aim to change that. Put even more simply, we publish to our readers the type of crypto research that we would want if the roles were reversed.

And to understand what *Chain of Thought* is, we should start by telling you what it is not…

If you're looking to speculate on "meme coins" or similar get-rich-quick "investments," then you will be disappointed. For many, that type of thinking has defined crypto for years. It has been an albatross around the industry's neck and has obscured the most consequential shift in capitalism in centuries.

We are nearly twenty years removed from the publishing of the original Bitcoin white paper. Today, Bitcoin is an accepted alternative asset held by retail and institutional investors around the world. There are now some 45 million Ethereum wallets participating in that ecosystem. And as I write, there is approximately $1 billion worth of tokenized stocks trading onchain around the clock.

deliver that to our readers. My name is Ben Lilly, and I will be your editor.

Longtime members of Brownstone Research may recognize me as the editor of *Permissionless Investor*, our premium digital asset research service.

During my time in this market, I was the first (to my knowledge) to develop a yield curve for Ethereum. I also developed a consumer price index for the Ethereum economy. I was the first to catalogue what I dubbed the "Greyscale Effect" in 2020, which showed how one market structure was moving the entire crypto market.

For over a decade, I have acted as an advisor, analyst, and investor in this industry. I tell you all this just to demonstrate that I have devoted my professional life to this market. Now, I intend to share that knowledge with you, our reader. And as I alluded to above, we are at a critical juncture.

Not since the securitization of the Dutch East India Company has a more consequential change to finance been underway. For the remainder of this report, I'll share the four biggest trends taking shape in this market. I'll show you the likely second- and third-order effects. And I'll reveal what we, as investors, should do to prepare for it all.

The calendar might say it's 2026. But in a very real sense, it's once again 1602.

The Genius Act

On July 18, 2025, President Donald Trump signed the "Guiding and Establishing National Innovation for U.S. Stablecoins"—or GENIUS Act—into law. This was one of the most consequential pieces of legislation to be enacted around crypto…ever.

defines reserve requirements, disclosure requirements, as well as redemption rights for any stablecoin products.

For the uninitiated, stablecoins are precisely what the name implies. They are cryptocurrencies designed to remain stable, typically by being pegged to another asset like the U.S. Dollar. These assets are invaluable to the broader crypto ecosystem. They fill the role played by cash in traditional markets. They provide liquidity and are often used as a base pair on exchanges. That simply means you will see digital assets priced in stablecoins (BTC/USDT, ETH/USDC, etc.).

Despite their necessity in the marketplace, stablecoin issuers had been operating in a regulatory gray area for years. Were these products compliant? What sort of reserves were needed to not run afoul of regulators? What applications could these products be used for?

Prior to the GENIUS Act, there was no real answer to any of these questions…

Making matters worse, the Securities and Exchange Commission (SEC) under the prior administration was chaired by one Gary Gensler. Rather than work with the industry, Gensler took a "regulation by enforcement" approach that was described by one federal court as "arbitrary and capricious."

As far as the crypto industry is concerned, those two words sum up Gensler's tenure…

But that was then. With the big questions around stablecoins largely resolved thanks to the GENIUS Act, this corner of the market has the green light for growth. And grow it will.

On June 5, 2025, Circle Internet Group (CRCL) "U.S. Dollar Coin." As the name suggests, it's a dollar-pegged stablecoin and the second largest by market capitalization. To say it was a success is an understatement.

The IPO listed shares at $31. But by the time the first public trade took place, shares were approximately $69, pushing the public company towards a market capitalization of approximately $19 billion. To me, this is evidence of investors' pent-up appetite that is finally being unleashed.

The new regulatory regime was best summed up by the new SEC chairman Paul Atkins in September of last year. During a speech to the Organization for Economic Co-operation and Development (OECD), Atkins said:

> Crypto's time has come.
>
> For too long, the SEC has weaponized its investigatory, subpoena, and enforcement authorities to subvert the crypto industry. That approach was not only ineffective but injurious; it drove jobs, innovation, and capital overseas. American entrepreneurs bore the brunt – and have been forced to spend fortunes on building a legal defense instead of a business. That chapter belongs to history.
>
> It is a new day at the SEC. Policy will no longer be set by ad hoc enforcement actions. We will provide clear, predictable rules of the road so that innovators can thrive in the United States.

Any crypto investor could only have dreamed of hearing words like this from an SEC chair a few years ago. At long last, the United States government appears to understand this ecosystem for what it is—an innovative industry primed for explosive growth and opportunity.

Along similar lines…

Just a few days after President Donald Trump took the oath of office on January 20, he issued an executive order.

Titled Strengthening American Leadership in Digital Financial Technology, the order put a working group together of some high-level government officials, including the following:

- Secretary of the Treasury
- Attorney General
- Secretary of Commerce
- Secretary of Homeland Security
- Director of the Office of Management and Budget
- Assistant to the President for National Security Affairs
- Assistant to the President for National Economic Policy
- Assistant to the President for Science and Technology
- Homeland Security Advisor
- Chairman of the Securities and Exchange Commission (SEC)
- Chairman of the Commodity Futures Trading Commission (CFTC)

It was an all-hands-on-deck approach to establishing the U.S. as a global leader in digital assets and blockchain technology.

Their task was to submit a report to the president assets in the United States. This included topics such as market structure, oversight, consumer protection, and risk management.

It was mandated to be detailed, transparent, and explicit. There would be no room for misinterpretation.

And in July, days after the report was submitted, the President, SEC, CFTC, and other relevant parties expressed alignment on one thing: **Bringing the financial system onchain.**

They called it Project Crypto.

Its implementation rests on the passage of a digital asset framework bill in Congress called the CLARITY Act. The GENIUS Act provided much-needed clarity for stablecoins. The CLARITY Act—as the name suggests—aims to bring regulatory clarity for the industry as a whole. That would include creating formal definitions, dividing regulatory oversight between the SEC and CFTC, and answering important questions for crypto exchanges and other brokers.

As I write in the spring of 2026, the CLARITY Act has passed the House. It's currently stalled in the Senate.

But the industry and Wall Street aren't waiting…

In late 2025, cryptocurrency exchange Kraken acquired Backed Finance – a company that creates something called xStocks. These are tokenized stocks and ETFs such as Apple, Nvidia, SPDR Gold Shares, Vanguard ETFs, Invesco's QQQ, and the SPY.

Around the same time, Larry Fink and Rob Goldstein from BlackRock were featured in *The Economist*, boasting the virtues of tokenization transforming finance.


Larry Fink and Rob Goldstein on how tokenisation could transform finance

Ledgers haven't been this exciting since the invention of double-entry book-keeping

Share

Dec 1st 2025 | 5 min read

Source: The Economist

Last year, the Nasdaq exchange submitted a filing to the SEC to allow tokenized securities on its stock market platform. All the major players are jockeying for pole position.

But what do tokenized stocks actually *mean*?

At a high level, the trend aims to combine the economic benefit of equities with the flexibility of blockchain technology. Rather than owning shares through a broker, an investor would hold digital tokens on a blockchain that represent ownership in the public company.

The benefits are numerous...

Tokenized stocks can trade around the clock and are not dependent on exchange hours. It would provide the opportunity for fractional ownership, a popular idea with retail investors and those with small portfolios. With tokenized stocks, investors would not be dependent on legacy gatekeepers like brokers, clearinghouses, eliminating capital tied up in the usual settlement process.

In short, it's a simpler, faster, and more democratic way for people to gain exposure to public companies. It's also already happening.

There is now more than $1 billion worth of tokenized stocks trading onchain around the clock. This is up from the measly $15 million that existed in December 2024. And nearly 3x the amount from six months ago.

That's right. It's happening now... *right now*.

And the reason it's happening right now is twofold.

First, it's a more difficult problem to solve.

How are shares held in custody while token holders act as the legal holders? How are dividends passed along? How can the tokens be legally minted on public and permissionless blockchain networks?

These have been incredibly difficult problems to tackle for any project wanting to build a compliant solution.

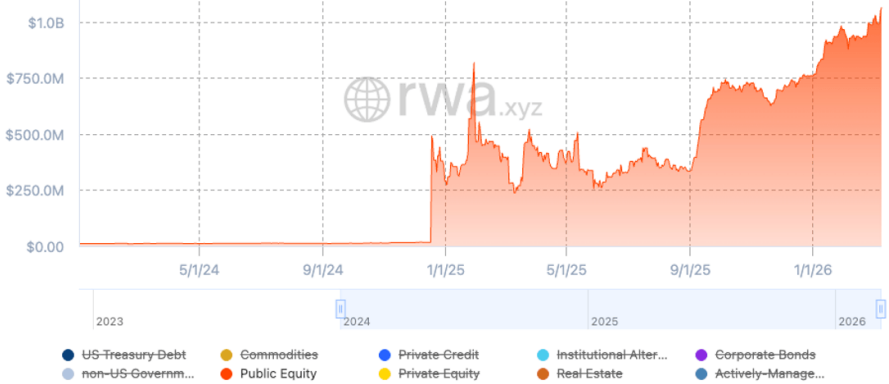
And these problems are now getting solved in unique ways through novel legal structures and solutions that bring reporting onchain called oracles.

The second reason...

Prior to the current pro-crypto White House, SEC, and CFTC, it was a virtual suicide mission to attempt this. That mindset is why the total amount of tokenized stocks onchain was near zero prior to President Trump. But as the chart on the next page shows, tokenized equities have

regime began to take hold.

Tokenized stocks are just starting to get integrated into other protocols. Ondo Finance's assets for example just began integrations into lending and borrowing and decentralized exchange platforms.



The liquidity and volumes are still small, but growth is coming. Each passing week showcases why 24/7 finance is no longer a future possibility, but an imminent reality.

World IPO Day

It's not just public companies…

The tokenization of equities is a more recent trend when compared to the more broadly discussed idea of real-world asset (RWA) tokenization.

RWA tokenization does what the name suggests. It's where real-world assets like real estate, treasuries, commodities, and private credit funds are reproduced in token form.

These tokens would be like a stock share in our investment account. The big difference is this representation sits on a public blockchain in digital form. Longtime readers will know the advantages of that—immutability and transparency.

It would also be a godsend for investors in notoriously illiquid assets like real estate. Rather than attempt to realize a return with real estate through an outright sale, the property could be tokenized. There it could trade, 24/7, 365.

In the past, we've referred to this idea as "World IPO Day." That's because anything of value could conceivably be tokenized and traded through this process, similar to a traditional IPO.

With all that said, this process requires that assets are held in custody, that legal rights get passed along to the token holder, and that any dividends or payouts are passed along to investors.

Things get complex fast. But as Larry Fink, CEO of BlackRock states, tokenization removes the "slews of middleman in the financial services area… It will reduce the friction cost and the transaction cost".

That's a powerful incentive for somebody, somewhere, to figure out the details.

How big is this trend?

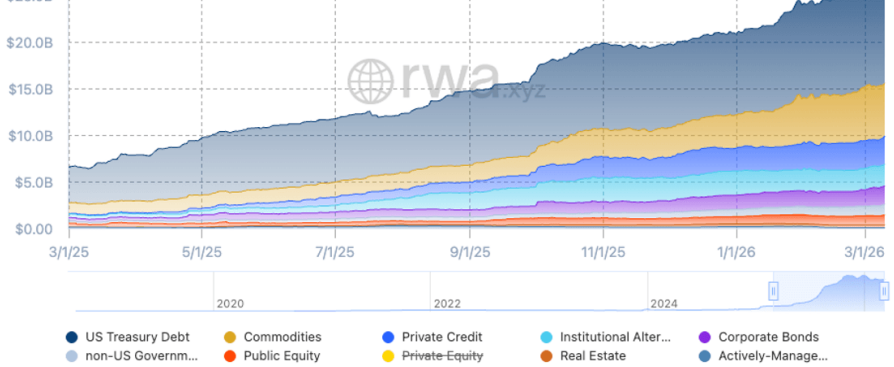
As the chart on the next page shows, it's nearly $30 billion.

U.S. treasuries onchain make up more than $10 billion, commodities like gold rack up more than $5.5 billion, and private credit is now more than $3 billion. Each one is expanding in size by the day.

And each RWA is finding its way across the ecosystem.

thanks to decentralized finance trading being open around the clock. That means that when geopolitical events erupt on the weekend, traders can find hedging solutions on public blockchains.

Large institutional players see this, and they're making their move.



Source: rwa.xyz

On February 11 of this year, BlackRock made an announcement. The firm integrated its tokenized onchain money market fund, BUIDL, with the decentralized finance (DeFi) exchange Uniswap. Uniswap is the largest onchain exchange in crypto. It lets anyone trade digital assets directly from a wallet without a broker, a bank, or a middleman. Trades settle instantly through smart contracts on the Ethereum blockchain.

BUIDL is BlackRock's tokenized fund backed entirely by U.S. Treasury bills and cash.

The integration of BUIDL into Uniswap allows qualified investors to move between BUIDL and the stablecoin USDC around the clock, seven days a week, with instant settlement on Uniswap's trading infrastructure.

It's a process that cuts costs and reduces friction, much like ETFs reduced fund expenses in the 1990s.

But that wasn't all...

BlackRock also purchased an undisclosed amount of UNI, Uniswap's governance token.

The deal made headlines in the digital asset industry. But the signal here is BlackRock not only wants exposure to Uniswap's possible growth in market cap, but a way for the asset manager to have a say on Uniswap's governance.

The largest asset manager is now an active stakeholder in DeFi. And aligned on its growth.

But things didn't end there.

Two days later Apollo Management, a nearly $1 trillion alternative asset manager, signed a cooperation agreement with a different DeFi protocol, Morpho.

Morpho is a decentralized lending protocol built on Ethereum. They provide the infrastructure for borrowers and lenders to interact. They don't create the markets, simply provide the smart contract solutions.

And it's done in a fully autonomous way. No loan officers. No credit committees. Just code executing financial logic. It's financial innovation rearing its head once again.

The details of the agreement are worth noting as Apollo agreed to acquire up to 90 million MORPHO governance tokens over the next four years. It's a sum that represents 9% of the total token supply and a deal valued at roughly $112.5 million.

Apollo wants to be further aligned with the protocol. Which comes after the fact that its tokenized credit fund, ACRED, is already being used for lending strategies on Morpho.

ACRED and its presence on Morpho allows holders of the tokenized credit fund to borrow stablecoins against their position.

It's a type of optionality that greatly reduces friction for ACRED holders. It's true financial ingenuity happening on a public blockchain.

These two deals are extraordinary.

BlackRock manages $14 trillion. Meanwhile Uniswap's entire market capitalization is around $2.4 billion and has about $3 billion of value locked up in its smart contracts.

Apollo manages nearly $1 trillion while Morpho's market cap sits at less than $1 billion despite

While the industry holds its breath to learn the outcome of the CLARITY Act, Wall Street sees where the puck is headed.

And they aren't waiting...

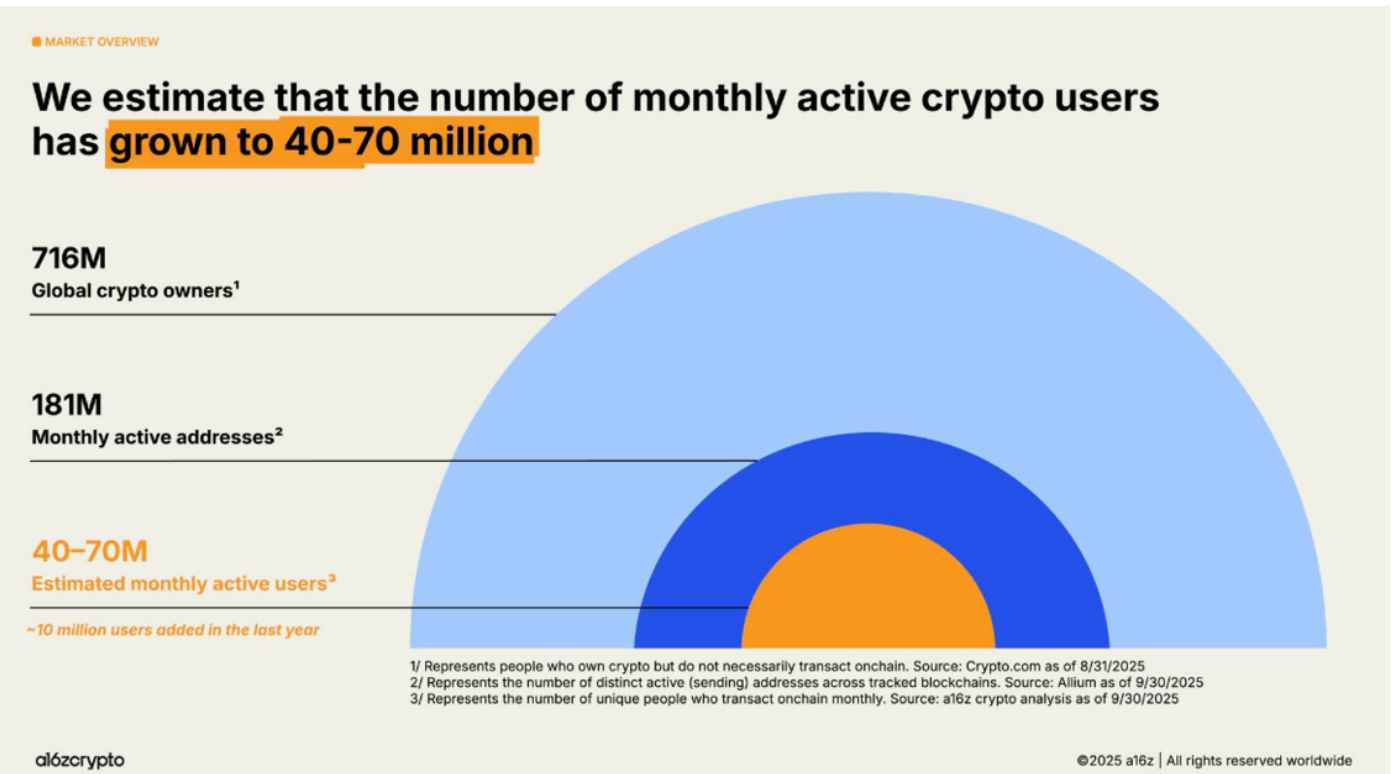
The Agentic Revolution

I've saved the best for last. This trend is—hands down—what I am most excited about in crypto right now. Put very simply, the digital asset industry is about to have its "Google moment."

Nobody is talking about this. Yet it will likely be remembered as crypto's biggest repricing event in its history.

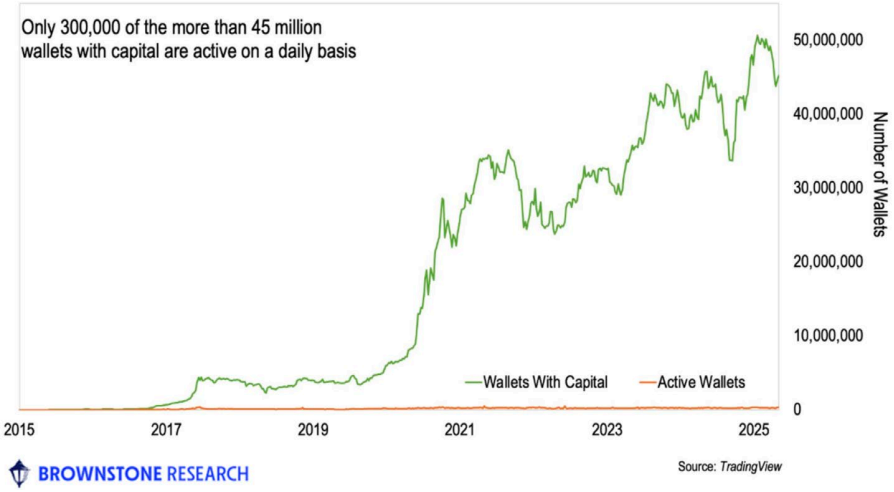
Let me tell you what I mean...

According to data from VC firm A16z, there are approximately 716 million global crypto owners. However, there are only 40 million to 70 million



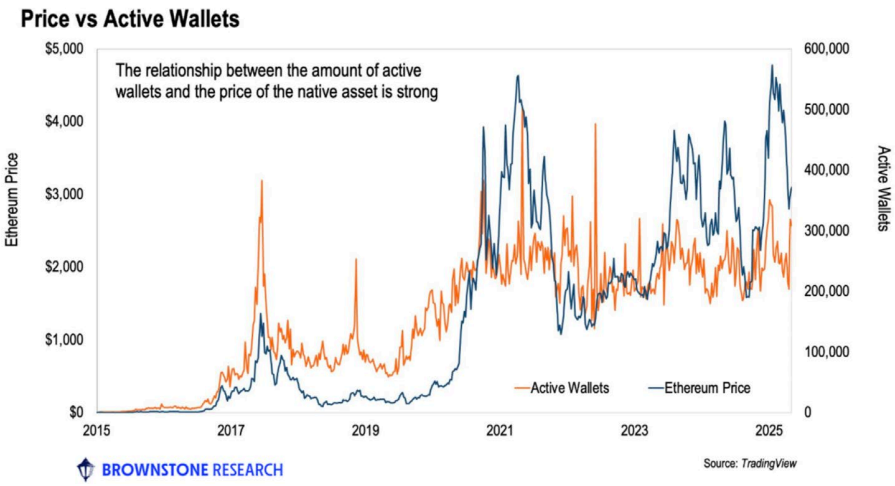
Source: A16Z

What this means is that the assets themselves have gained wide adoption. But the technology—the ecosystem—is only used regularly by a small minority. This would be as if hundreds of millions of investors owned internet company stock, but only a small minority regularly *used* the internet. That actually was the case for a time in the 1990's.



We can see this data for ourselves.

At the end of 2025, there were approximately 45 million Ethereum wallets. These would be wallets that hold at least some ether, the native asset of the Ethereum ecosystem. However, only about 300,000 of those wallets, about 0.67%, are active on a daily basis.



For investors, this matters for one reason—the correlation between active wallets and the price of ETH is very tight. We can think of the Ethereum ecosystem as an economy. In the traditional economy, more activity—working, earning, buying, etc.—directly leads to GDP growth. It's the exact same principle here.

This poses a question: Why are there so few active users? The answer is simple.

It's because crypto is hard…

If you've ever participated in this market, then you know that from experience. Setting up a wallet, buying assets on an exchange, storing private keys, conducting transactions on blockchain protocols—all these tasks are difficult for regular investors.

Difficulty means friction. And friction slows adoption. That's why only a tiny minority of crypto holders are using the underlying technologies.

What would it take to grow active users exponentially?

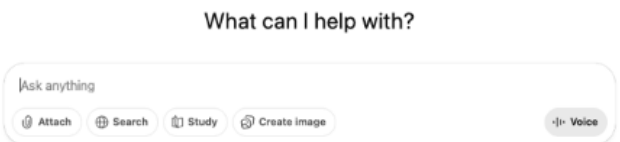
We've already learned the answer from a past adoption cycle—the internet.

In 1995, there were approximately 16 million internet users, or less than one percent of the global population. It's easy to forget, but in those early days, the internet was cumbersome and poorly understood. That began to change in 1996.

founded a company called Ask Jeeves. In 1997, they launched the website askjeeves.com. And just like that, the internet became *searchable*. Type in what you want to know, and the site would deliver results.

With this new user-friendly interface, adoption soared. From 1995 to 2001, the number of internet users grew more than two thousand percent. Google improved upon the internet search product, and the rest is history.

The underlying technology within crypto ecosystems already works. What it needs now is a frictionless user interface. Soon, that interface will look something like this:



Source: OpenAI

ChatGPT was the first mover in conversational AI, and it was unmatched in user adoption. The platform reached one million users in five days. For comparison, Instagram was the second-fastest to reach the one-million-mark. But it still took two-and-half months.

By now, hundreds of millions of global users are comfortable with this chat-based interface. And so, it will be an easy experience when this format shows up in the crypto ecosystem. One example of a project already moving on this idea is Bankr.

Bankr or Bankr.bot is a chatbot that can understand human-like text based on user prompts. The large language model (LLM) that it uses has not been disclosed, but the interactions look very familiar if you've ever used GrokAI, ChatGPT, or Claude.

on cryptocurrencies and public blockchain actions.

It can parse information like token tickers, their associated contract address, and other on-chain information that drives its intelligence. These actions are things like swapping two tokens, creating a new token, or finding a possible yield for a user to park their stablecoins.

It can also relay information such as a token's market cap, number of wallets holding the token, volume traded, price charts, and other details.

And while this setup is impressive, three features separate Bankr from the pack of projects creating personal AI assistants:

Wallet Abstraction: Bankr abstracts this complexity away thanks to Privy. Privy handles this complexity in wallet management behind the scenes. It eliminates seed phrases, private keys, and even some manual approvals that can complicate even the simplest of transactions. This abstraction also paves the way for a wallet to be managed by a bot like Bankr. The user can give the bot the ability to make swaps, sends, or purchases with plain English commands.

Social Integrations: Typical solutions require a user to log into a website with their wallet to interact with an agent. Bankr flips this model and goes to where users sit. Bankr is accessible on X, Telegram, Farcaster, and the decentralized peer-to-peer messaging protocol XMTP. Users can simply tag the bot in a post. They can tell it to do things like "Buy $50 of token [blank]" or "Send @username $50 of USDC." The social feed, in some

The Token Itself: The native token for Bankr is BankrCoin (BNKR), which aligns with the Bankr ecosystem. One way is via the Bankr.bot API keys. This feature lets builders create their own solutions that work with Bankr. Then, with each API request, a small payment of BNKR is required. This gives the token utility and helps build the project's treasury. There are also chat limits. There are only so many requests a user can submit per day. And to unlock more requests requires the user to join the Bankr Club. This requires a payment in the form of BNKR, which also feeds back into the treasury.

Bankr is just one example. But you can see how this format could quickly gain adoption. Just tell the AI what you want to do. It simply does it.

Want to set a stop loss on a position?

Want to execute a trade?

Want to create a loan using your portfolio as collateral?

Just tell the AI. And it will do it.

traditional blockchain processes, it's also faster and easier than *traditional finance*. This is the future of finance, and it already exists.

It's only a matter of time before the rest of the world catches on.

Regards,

Ben Lilly
Editor, *Chain of Thought*

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